Unfortunately, many policymakers treat large and small businesses as competitors, which is problematic. When both small and large businesses compete to produce the same product, the small business will suffer because of cost and scale disadvantages. Providing financial support to small businesses to compete with large businesses is not a good policy. An auto-rickshaw (a small business) cannot compete with a railway or bus business (a large business) for long-distance transportation, but it certainly beats these businesses in local transportation, which is the right business for it (customized service).

No real purpose is served by classifying small businesses into micro, small and medium. This is a totally artificial construct. The fact that the government has been changing the investment and turnover criteria for classifying the small businesses into micro, small and medium businesses quite arbitrarily supports the contention. There is no real distinguishing factor between small, smaller and the smallest.

The primary imperative of production at scale and customized production leads to the deployment of two principal factors of production—capital and labour—in different proportions. Large capital is required for investing in machines, automation and technology for creating large businesses while more labour is required to deliver more customized, personalized and niche goods and services.

In the new digital age, plenty of opportunity will come the way of small businesses as technology can be used effectively to produce customized goods and services. The critical advantage of machine and technology use in the industrial age is likely to be less advantageous in the production of a lot of goods and services.

Building a System for Registering and Serving MSMEs

This would require the creation of a new institution. The MSME Ministry or the Ministry of Corporate Affairs should create an authority, let us say,